

that has worked well for the company. “We are among the top two ice-cream brands by value and Hatsun curd is the largest in the private sector. Ibaco is among the top two players in the ice-cream parlour segment,” he says.

In early 2025, Hatsun acquired Milk Mantra Dairy and its Milky Moo brand for ₹233 crore. The aim was to get a meaningful presence in eastern India, two processing facilities and a product range that, apart from milk, has buttermilk, lassi, and paneer, instead of remaining just a south-based operation. “With manufacturing in Odisha, we have access to West Bengal and north Andhra Pradesh. New markets take time to build and can be done only if you have established markets outside,” says Chandramogan.

MONEY MAKING

In markets where Mother Dairy and Amul have a presence in milk, EBITDA margins are typically in high single digits (8-9%). Some brands, through differentiation, can command 15%. Ghee and skimmed milk powder follow the global commodity cycle, and margins could be in single digits (8-9%) or even in the negative. Curd, buttermilk, and lassi offer double-digit margins (around 15%) and in some cases more than 20%. Cheese and ice-creams need sophisticated cold chain distribution systems (and are sold in limited outlets because of refrigeration requirements). As they are treated as high-value-added products, margins are typically in the 30-50% range. Whey, among the more sophisticated products, commands a premium based on factors like origin, test results, and purity.

K.S. Narayanan, an independent food advisor, says the western world has a larger base of value-added products, the prominent ones being cheese, ice-cream, and whey powder. The gains are clear. “Value addition will lead to investments in upgrading cold chains, livestock and its feed and, eventually, improve the quality of milk. One will also see the emergence of specialised functional categories within the dairy ecosystem to address specific consumer needs.”

For Nestlé India, milk products (dairy whitener, condensed milk, UHT milk, yoghurt, and baby food), with a revenue over ₹7,700 crore, are the largest business, with a clear focus on value-added products. “Consumer expectations are evolving from basic nourishment to products that offer nutrition, convenience, taste, and premium experiences. This is shifting demand beyond milk to offerings such as yoghurts, condensed milk, and dairy-based beverages,” says Vineet Singh, Director, Milk Products & Nutrition, whose portfolio includes Everyday dairy creamer, a+ range of milk and yoghurts. “Our strategy is to respond to changing needs through science-based in-

PHOTO BY AFP



NEW OFFERINGS The western world has larger component of value-added products, the prominent ones being cheese, ice-cream and whey protein powder

novation, trusted brands and products that deliver nutrition, quality, and everyday relevance.”

Historically, India has had a huge demand for fresh milk, with limited shelf life. “The first stage of value addition (or primary processing) was to convert that into standardised processed milk. We have seen an explosion in its volume, led by the large national cooperatives,” says Narayanan.

As consumer needs become more complex, it is important to establish a long-term, robust business. Brahmani Nara, Executive Director, Heritage Foods, says her company looks at value-added products as a core growth business. “Liquid milk will always remain important, but it is not where our long-term margin strength comes from. Our focus on building a stronger value-added products portfolio gives consumers more reasons to choose us and also gives the business a healthier mix,” she says.